

BUILT TO SELL

Creating A Business That
Can Thrive Without You

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The Big “So What”

One of the most common mistakes entrepreneurs make is to build a business that depends too much on them. They become stuck in the business and can't sell it even if they want to. [Through a parable, Warrillow illustrates an 8-step model that you can use to turn your business into one that you can sell.](#) This is a must-read book for any business owner to learn how to develop options to exit their business.



Introduction

For many small businesses, especially service firms, the owners *are* the business. They are so good at what they do that they become the go-to person in the company. Unfortunately, such businesses aren't scalable or sellable, so the owner has no choice but to keep slogging on.

Warrillow estimates that probably only 1 in 100 businesses are saleable. [Regardless of whether you intend to sell your business in future, you should always create options for yourself by building a business that's valuable, scalable and sellable.](#) After studying and interviewing hundreds of entrepreneurs, and building/selling his own businesses, Warrillow presents an 8-step action plan to help you build a sellable business.

The fable is about a fictional entrepreneur, Alex Stapleton, who is struggling to sell his marketing agency. With the help of a family friend, Ted, Alex manages to transform and sell his company. [In this summary, we'll explain the 8-step model \(with associated tips\) for selling your business as we follow Alex on his journey.](#)

KEY QUOTES

“The best businesses are sellable, and smart businesspeople believe that you should build a company to be sold even if you have no intention of cashing out or stepping back anytime soon.”
—Bo Burlingham

“The idea is to have as many choices in the future as possible.”
—Bo Burlingham



Backdrop to the Fable

When Alex started The Stapleton Agency, he envisioned hiring top talents, doing prestigious marketing projects and growing a multi-agency holding company. Yet, 8 years later, he finds himself with an average team that's underqualified for the wide range of marketing services they offer. Alex has to personally bring in the sales, manage the clients (who will *only* deal with him) and struggle to make the monthly payments. Although he manages to clinch a large account with the First National Bank after years of serving small businesses, Alex finds himself at the client's beck and call and feels as if he's groveling for scraps.

Alex is tired, wants more time for himself and his family, and decides to sell his company. He approaches Ted Gordon, a family friend and serial entrepreneur, for help. Alex is shocked when Ted tells him that his business is worthless—The Stapleton Agency has no differentiating factor, is overly-reliant on him and 1 large client that contributes to 40% of its revenues.

A generic, owner-dependent business like The Stapleton Agency can at best be sold under an earn out agreement, which means that Alex will get a small amount upfront for the company, with the remainder being paid only *if* he successfully achieves pre-agreed targets for 3-5 years. He'll bear the bulk of the risks, while the acquirer enjoys the bulk of the reward from success. **To sell his company without getting stuck in an earn out arrangement, Alex must first transform it with Ted's help.**



The 8-Step Model to Sell Your Business

Before you start on the 8 steps below, make sure you engage an accountant to help you strategize how to minimize your taxes when you sell your business.



1. Develop a Standard Service Offering (SSO)



The Model. An SSO is a consistent process for delivering a specialized service that you focus exclusively on.

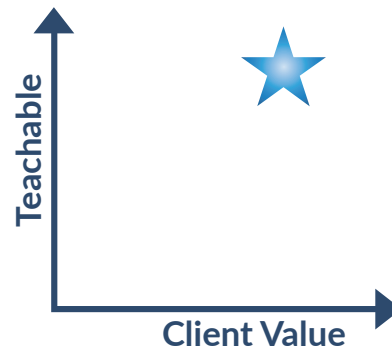
- Identify a service that's valuable to your client *and* can be taught to someone else. List down all the services you

KEY QUOTES

"A business reliant on its owner is unsellable so the owner becomes trapped in the business."

"If you specialize, you can hire specialists and improve the quality of your work."

currently provide and plot them along 2 axes: teachability and client value. Your goal is to identify a service that (i) is high on both axes and (ii) will be needed by your clients on a regular basis (to provide a source of recurring revenue). You can also bundle ≥ 2 services to find your ideal offering.



- Document your process, breaking it down into specific steps that can be consistently repeated. Write an instruction manual detailing each step, including examples and templates to make it as easy to follow as possible. Test it on your team and keep refining it until your team members can deliver the service independently without your intervention. Be patient since the process will take time and multiple rounds of revisions.
- Brand your offering by (i) naming the SSO, (ii) naming each of the steps, and (iii) briefly describing the features and benefits for each step. It's vital to position your company and offering, so you can stand out from competitors and command the desired price and payment terms. Include your SSO in all your customer-facing communications, e.g. website and brochures.



The fable. Alex's first task is to identify what The Stapleton Agency is *really* good at. The answer is logo creation, which they do using a proven 5-step process. Clients need logos each time they launch a major new product or unit, and are typically willing to pay a good fee since each logo will be used for a long time.

- With Ted's guidance, Alex develops the "Five-Step Logo Design Process" which includes:
 - (i) Visioning: Clients are asked to describe their product vision and differentiation.
 - (ii) Personification: Clients are asked to personify their product e.g. if the product is a famous person, who will it be?
 - (iii) Sketch Concepts: Initial ideas are presented to clients using freehand sketches. Such sketches help clients to

KEY QUOTES

focus on high-level concepts, whereas computer drafts tend to shift their focus to minor design details like font, lines or colors.

(iv) Black & White (B&W) Proofs: The client's preferred concept is developed into computer-generated options in B&W.

(v) Final Design: Detailing and colors are added only after the client has selected a B&W concept.

- Alex condenses the 5-step process into 1 page, and starts contacting dormant clients to pitch the SSO, refining his pitch as he goes. Within 2 weeks, he has contacted 24 clients, held 6 meetings and closed a \$10,000 sale to Ziggy, a past client who's about to launch a new line of low-fat yogurt.
- Alex then creates an instruction manual, capturing details for each of the 5 steps above, such as the exact questions to ask clients, personification examples, logo color combinations etc. He keeps testing and editing the manual to help the team execute the process without him.

 **Tip: Be a specialist, not a generalist.** It may seem scary to cut back from a full-service marketing agency to focus *only* on logo design. However, *a small firm that tries to do too many things will end up hiring generalists who're mediocre compared to talents from larger firms. By focusing on a specific area, you can hire specialists to become #1 in your niche.* When you're truly confident about your expertise, it also makes your pitches much more compelling.



2. Build a Positive Cash Flow Cycle



The model. Buyers will only be interested in a business with a positive cash flow cycle, i.e. it generates cash.

- To achieve that, you must charge upfront for your SSO. Ideally, get the full payment upfront. If not, use progressive billing so you have enough cash to cover the expenses as you work on each project.
- This allows you to operate without extra loans or equity injection, and will fetch a higher valuation from acquirers. However, you need a strong SSO from Step 1 above.

KEY QUOTES

"Pitching a process you own puts you in control."

"Create a positive cash flow cycle, which will give you the cash you need to operate without diluting yourself with other shareholders."



The fable. Alex realizes that he's been struggling with his bills because of the firm's negative cash flow cycle—there's a 4-5 months' gap from the time they start working on a job till the time they get paid. The more projects they have, the worse the cash flow. Alex revises the terms of payment for logo creation: by collecting \$10,000 for each logo upfront, they get enough cash to finance the projects and create a positive cash flow cycle.



Tip: Think like a product company, not a service company. Clients are typically prepared to pay upfront for a product, but not for a service. Moreover, services rely on people who may come and go anytime, whereas standard products can be delivered without relying on any one person, including the owner.



3. Hire a Sales Team



The model. To build a sellable business, you need to show that (i) you don't need a superstar to bring in the sales and (ii) you have a diverse client base (such that no single client constitutes more than 10-15% of your revenue). The 2 steps above (creating, packaging and charging upfront for an SSO) paves the way for you to build a sales engine that delivers predictable, recurring revenues.

- Your goal is to set up a sales process that works consistently across all clients. Avoid salespeople who're used to selling professional services—they tend to use consultative selling which ends with heavy customization. Hire salespeople who (i) love to sell, and (ii) are strong in selling products.
- Ideally, hire ≥ 2 salespeople to generate friendly competition and to show that your process works for various salespeople.
- Track your sales conversion rates so you can better estimate your market potential.



The fable. For weeks, Alex manages his existing business while he works on the Five-Step Logo Design Process. After he sells his 2nd logo for a condo project, Ted advises him to hire a sales team that can predictably generate logo sales without him.

KEY QUOTES

"A service company is simply a collection of people with a specific expertise who offer their services to the marketplace."

"To sell your business, you need to demonstrate to a buyer that you have a sales engine that will produce predictable, recurring revenue."

- To work out how many sales reps are needed, Ted and Alex research the number of target companies in the area with $\geq \$1$ mil annual revenue. If they can close cold prospects at half of Alex's 4.5% closing rate with existing clients, the market potential should be around \$11.6 mil ($2\% \times 58,000$ target companies $\times \$10,000$ per logo). If each salesperson can sell 50 logos per year, they'll need 2 salespeople to hit a \$1 mil revenue target.
- Earlier, Alex had shared the company's new direction with the team, and received mixed responses. To hire the sales reps, he decides to let go of existing staff, including his lousy copywriter and 2 designers (one with an inflated ego and another who isn't keen to do templated logo designs).
- Alex hires Angie, a top saleslady who loves to sell and is experienced with selling mobile phones and yellow pages ads. Angie is competitive, disciplined and systematic, and keen to help build a sales team with a structured sales process. Meanwhile, Ziggy is pleased with the logo created by Alex's staff, Rhina and Chris. Alex decides to split the 5-step process between them, with Rhina handling account management (steps 1-2) and Chris handling the design work (steps 3-5).



4. Stop accepting projects outside of your SSO.



The model. Commit to your SSO and reject all other projects. This is the toughest step, since your clients and employees will keep pushing you to make exceptions, and you'll be plagued by self-doubt. Transforming a business for sale takes time—resist the temptation to give in, stick to your SSO and you will see a distinct shift over time.

- The short-term revenue and cash flow from other projects are not worth the long-term costs.
 - (i) Clients will know you aren't serious about specialization, and continue to push for more customization.
 - (ii) You must hire more people to handle the generalized services, most of which will be outside your sweet spot or core capabilities. This distracts you from building a real differentiating factor.

KEY QUOTES

"Not only is an acquirer going to want to know how big your business could become, they will also want to know that you have a predictable sales engine that allows you to estimate how many sales you can make."

"You can't be 'kind of' a specialist. Either you specialize or you don't."

- Once the first 3 steps are in place—i.e. you have an SSO you can charge upfront for and a team to independently deliver the sales and products—you must drive the model as fast/far as possible for at least 2 years. This is vital to (i) build your business and financial track-record and (ii) strengthen your cash position so you won't need an earn out to survive. During this period, do not add projects outside the SSO, or get personally involved in sales/operations. If problems arise, focus on fixing them at a systems level.
- In the first year of your switch, ignore your profit and loss (P&L) and focus only on cash flow. Your P&L may look bad on paper because of accounting practices to spread the revenue across the product delivery period. In reality, your cashflow will improve.



The fable. Alex soon finds himself struggling with his decision to specialize. First, he has to pass on an invitation to pitch for an ad campaign. Then, he receives word that the proposal he submitted earlier to a huge sports company has been accepted. Alex badly wants the contract as it'll bring a significant \$50,000 revenue a month. He also has to inform his existing clients that he can no longer support them on marketing areas outside of logo design. Faced with the financial impact and his clients' disappointment, Alex finds himself having second thoughts.

- However, Ted reminds Alex that true specialists don't take on random work, e.g. heart surgeons won't treat ankle sprains. He assures Alex that The Stapleton Agency will get many more referrals once it establishes itself as the world's best logo creator.
- Meanwhile, Alex hires a 2nd sales rep, Seamus. Angie and Seamus soon develop a sales rhythm, with 8-10 weekly appointments and 1 weekly logo sale each. For the first time, Alex is no longer the one bringing in the sales.
- Despite the progress, Alex is shocked to hear from his accountant that they're making losses. Although they're collecting \$10,000 upfront per logo, the revenues are spread across 3 months to show only \$3,333 per month. Lower profits mean lower bonuses that year.
- During his planning exercise, Alex decides on the dream figure of \$5 million to sell his company. Ted advises him to

KEY QUOTES

"There is a point where the wind will start blowing the other way and your clients, employees, and stakeholders will finally realize that you're serious about focusing on one thing."

"Think of this as very mild short-term pain for a very big gain down the road."

write down the number on a card, seal it in an envelope and keep it safe. Alex also sets the target of \$2.5mil annual revenue the following year with 15% pre-tax margin. He reflects with satisfaction that he now has a steady stream of new customers, a team that can operate without him, and extra cash to invest each month.



5. Launch a Long-Term Incentive Plan for Key Managers



The model. It's vital to have a management team that (i) can run the business without you and (ii) will stay after the company is sold.

- Don't use equity as a retention tool as it'll only complicate things. Moreover, equity is only valuable if there's a demand for the shares (which may not be the case for a small service firm).
- It's better to develop a long-term incentive plan for key managers. For example, you can reward managers with performance bonuses for achieving their annual targets. In addition, set aside matching annual bonuses into a long-term incentive account. After 3 years, each manager can withdraw 1/3 of the amount from their pool of funds. The pool will grow each year to match their personal achievement, but they can only access it if they stay for at least 3 years.



The fable. With his new focus, Alex steadily expands his team to 5 salespeople, 2 account directors, 2 designers, 1 coordinator and 1 accountant. However, the original team is starting to feel stretched between their own work and the burden of training and managing the new staff. It's time for Alex to build a management team that can run the business without him.

- Angie is promoted to Vice President (VP) of Sales, Rhina to VP of Client Services, and Chris to VP and Creative Director. They're offered the long-term incentive plan and given a 7% pay raise for the additional management roles. The Stapleton Agency sells 250 logos and closes the year with \$2.7mil sales and \$490k pre-tax profit. Alex aims to double revenues again the next year to \$5mil with \$1mil pre-tax profit.

KEY QUOTES

"Only use equity as a last resort for motivating and retaining your management team. Consider alternative forms of long-term incentive plans."
"As an employee, I'd much rather have an understandable cash bonus plan over being a minority shareholder in a closely held small business."



6. Find a Suitable Broker



The model. As you drive the model over the 2 years, your business may improve so much that you no longer wish to sell it. However, if you're still committed to proceed, then you must find a broker to represent you.

- Get recommendations from entrepreneurs who have successfully sold their firms. *An ideal broker should (i) have a proven track record in your industry, (ii) truly appreciates your SSO so they can push for a competitive selling price, and (iii) be of the right size such that you're neither their largest nor their smallest client.*
- Avoid brokers who only propose a single buyer, as they may be using you as a pawn to please their top client. You'd want some competition to generate the best selling price.
- Your broker will work with you to create "the Book"—a document that describes your business, performance and future plans and prospects. They'll usually charge a percentage of the deal value.



The fable. By now, The Stapleton Agency is doing much better and Alex is less stressed. If they hit \$5mil pre-tax revenues this year, Alex can probably sell the business for his target price. Ted warns him that if he proceeds, there'll be a 6-8 months roller coaster ride and no turning back thereafter. An alternative is for Alex to declare a larger bonus and keep growing the company. Alex decides to go ahead with the sale.

- Ted refers Alex to 2 brokers. One of the brokers instantly suggests a potential buyer, while the other (Peggy) is impressed with what Alex has built and suggests researching into companies with a strategic fit (e.g. printing companies that can use logos as a trojan horse for larger printing contracts). Alex decides to go with Peggy.
- Next, Alex must develop a 3-year business plan. Since the acquirer will be a large company that wants rapid growth, Ted advises Alex to think big and show how huge the logo-creation business can grow given unlimited resources. Using Starbucks as a benchmark, Alex draws up a plan to show how they can reach \$12 mil annual revenues in 3 years,

KEY QUOTES

"The firm you select needs to be large enough to be respected by a potential buyer, yet small enough that your deal will be important to them. Ideally they will have also done some deals in your industry."

"For you to get the highest valuation for [your company], you need to show how you can be an engine of growth for an acquirer."

by adding satellite sales offices and telemarketers to reach more businesses.

- Based on this plan, Peggy works with Alex to shortlist 23 potential acquirers with a strong strategic fit and enough cash. She contacts the companies with a 2-page teaser on the business opportunity, and interested buyers will sign a non-disclosure agreement to get The Book.

Tips/Insights:

- Continue to keep a close eye on your business performance even as you work on selling the company.
- Be deliberate with your choice of words. Use words like “Current Year” to describe your first year numbers instead of “Forecast”. Present your business as a product company with a scalable, repeatable process. Use products-related words (e.g. customers, company and contract), and avoid services-related words (e.g. clients, firm and engagement).
- Strategic vs financial buyers. Strategic buyers tend to pay more as they consider your business’ long-term value assuming they put their resources behind it. Financial buyers tend to push for a lower price to maximize their return on investments.



7. Inform your Management Team



The model. The prospective buyer will eventually need to meet your team. It’s better for the team to hear about the sale from you than from the grapevines.

- Present the sale from the managers’ perspective: help them to see what’s in it for them if the deal goes through, e.g. better career prospects, higher chances of hitting their personal bonus targets and growing their long-term incentives.
- You can also offer a cash bonus if the deal is closed successfully, but pay it out in ≥ 2 installments as an incentive for people to stay.

KEY QUOTES

“Think big; remember that the company that acquires you will have more resources for you to accelerate your growth.”

“Stop using the language of a service firm and start using the language of a sellable business.”

“Take off your conservative business owner hat and imagine what is possible.”



The fable. Of the shortlisted companies, 4 signed an NDA to get The Book. It's time for Alex to tell his management team of the potential sale. Alex feels guilty about reaping the financial gains after the team has worked so hard to grow the business. Ted reminds Alex that he's spent years building the business and bearing the full financial risk. Alex calls for a meeting to explain why they need more resources for the next level of growth, and how the team can benefit from being part of a bigger company. To Alex's surprise, the team welcomes the news.



Tip: When you meet the prospective buyers, be prepared to answer in-depth questions about your business model, sales process, cash flow, profit margin etc. You're also likely to be asked why you are selling the business. Ideally, convey your excitement about the company's future, say you want to tap on the buyer's resources for the next level of growth, get some liquidity for the value you've created, while having the option to participate in some of the upside in future. You don't have to commit to an earn out, but you should minimally indicate your willingness to help with the transition.



8. Convert the offer(s) into a binding deal



The model. After the management presentations, you may get offers in the form of non-binding Letters of Intent.

- It's common for the offer to include an upfront fee and an earn out fee. Review the offer based on the upfront fee. Treat the earn out fee as an optional bonus, i.e. you must be able to walk away anytime if things get unpleasant after the sale. Don't be swayed by your advisor (who has a vested interest to close the deal) nor by promises to help you achieve your earn out targets.
- Be prepared for a relatively painful due diligence period of 60-90 days. Stay calm and present the best possible picture without lying. Since most offers are non-binding, the buyer may walk away from the deal at any time. It's also common for the buyer to reduce the offer price after the due diligence period, knowing that you're already heavily invested in the process. Review the new offer objectively and walk away if it doesn't meet your goal.

KEY QUOTES

"Buyers understand that entrepreneurs want to put some cash in their jeans but nobody wants to buy a sinking ship where the captain is about to jump."

"As long as you get what you want for the business up front, and treat the earn out as gravy, you can walk when things get nasty."



The fable. Alex and Peggy meet with 2 different printing companies. After weeks of anxious waiting, they receive an offer from one of the companies, PTG, for \$6mil plus an additional \$3mil if the revenue/profit projections are achieved at the end of 3 years. However, this is a non-binding offer contingent on an exclusive 60-day due diligence process.

- Over the next 45 days, Alex endures an exhausting due-diligence process. He's interrogated on details like their market projections and processes, while PTG's rep scrutinizes their ops and documents. Ted then advises Alex to apply some pressure for a decision by the end of the 2-month exclusive window—he assesses that PTG probably won't want to waste its weeks of effort/resources.
- Finally, after 8 weeks of due diligence and 6 months of hard work with Peggy, Alex receives a final offer of \$5.2mil. The number was revised downward from the original \$6mil since PTG disagrees with the market potential calculations. Alex almost rejects the deal in anger. However, he opens the dream figure that he sealed away over a year ago, and realizes that the revised figure still meets his target. He accepts the deal and The Stapleton Agency is finally sold.

KEY QUOTES

"Every negotiation reaches a point where you need to communicate to the other side that they've pushed you as far as they can."